

****Memorandum from the President of the Guarantor for the Protection of Personal Data, Prof. Pasquale Stanzione - Exploratory Investigation on Artificial Intelligence: Opportunities and Risks for the Italian Productive System****

****Chamber of Deputies - X Commission on Productive Activities, Commerce, and Tourism**
(7 February 2024)**

I thank the Commission for this invitation, which underscores the awareness of the relevance of data protection in the governance of artificial intelligence (hereinafter: AI). It has become a subject of political debate at a global level, particularly following the rise of generative AI. This is primarily due to the simulative capacity of this type of AI, which can perform semantic analysis and, therefore, potentially replace humans in certain functions. For this reason, the digital ministers gathered at the G7 in Tokyo last year agreed on the need for global regulation of AI to make it reliable, "in line with the (common) shared democratic values." While in the USA there is a limitation to an Executive Order directed at federal agencies, Europe has reached the approval of a general regulation on AI, entrusting a directive with the profiles of responsibility. However, as early as 2016, the EU had developed an initial framework for AI through Article 22 of Regulation (EU) 2016/679 (hereinafter: GDPR).

Indeed, the Guarantor has been able to intervene on Chat GPT and, even earlier, on the Replika chatbot, because data protection regulation governs (and will continue to do so even after the AI Act) the core of AI: the processing of personal data for automated decision-making processes and the training of algorithms.

Regarding this central core of AI, data protection regulation offers some essential guarantees: the principle of knowability (which excludes the legitimacy of black-box algorithms by recognizing the right to receive meaningful information about the logic used), the non-exclusivity of algorithmic decision-making which imposes a human intervention capable of controlling, validating, or refuting the automated decision, the prohibition of algorithmic discrimination, a general principle of transparency that imposes specific informational obligations towards the user, a criterion of quality and accuracy of the data to be used, particularly relevant to avoid biases inherent in training the algorithm based on inaccurate or insufficiently representative information. The particular guarantees granted in the processing of minors' data have also proven decisive in ensuring the necessary control over the access of those under fourteen to certain content offered by these chatbots, deemed inappropriate (for example, because sexually explicit) for their level of cognitive, ethical, and personality development.

The principles enshrined in privacy regulation have thus already taken on a determining value in regulating algorithmic processes, to the point of allowing, for example, administrative jurisprudence to find the regulation of certain specific cases and, indeed, for the Guarantor to align the use of AI with the values inherent in the constitutional and European legal order. Far from hindering innovation, the Guarantor has rather promoted it by directing it towards a democratically sustainable direction compatible with the protection of individuals.

This explains not only why the AI Act is also based on Article 16 TFEU (the legal basis for data protection legislation) but, above all, why it borrows many legislative policy options from the GDPR: for example, the taxonomy of prohibitions and applicable rules based on the risk level of systems, the impact assessment (here on fundamental rights) for high-risk applications, the principle of transparency as the cornerstone of the relationship between the use of technology and the self-determination of the individual, the enhanced guarantees for "sensitive" data (i.e., belonging to special categories), the system of rights, protections, and sanctions, and governance in its dual internal and supranational dimension.

The "constitutional" dimension of the AI Act (as an aspiration to protect rights and fundamental freedoms from the potentially arising risks of an anomic use of technology) will, however, burden the internal legislator, in a descending phase, with the provision of adequate guarantees of independence for the competent national authority. The significant and transversal impact of AI on fundamental rights suggests, in fact, attributing competence to authorities characterized by independence requirements, due to the "limits and aporias" that the majority rule presents, as Norberto Bobbio taught, in the face of

that "border territory" represented by freedom rights.

Given the close interrelationship between AI and privacy, the competence already acquired in this area by the supervisory authorities over automated decision-making processes, which should nonetheless be safeguarded under Articles 8 CFR and 16 TFEU, and the independence characteristics that define its status, it would be useful to consider the solution proposed by the European Data Protection Board and the European Guarantor, aimed at suggesting the identification of data protection authorities as the supervisory authorities for AI.

The "designation of data protection authorities as national supervisory authorities would ensure," in fact, as emphasized by the...

European organisms, "a more harmonized regulatory approach would contribute to the adoption of a consistent interpretation of the provisions regarding data processing as well as to avoid contradictions in their application across different Member States." This solution would also ensure a significant simplification for users, who would have to refer to a single authority for AI systems operating on personal data, greater consistency of the overall regulation, as well as the extension of the guarantees' status (also in terms of independence) of Data Protection Authorities to the AI sector. This choice would also address the concerns expressed by the Government during the previous legislature regarding the administrative and financial burdens associated with the implementation of the AI Act, as well as the excessively long implementation times attributable to the complexity of the governance mechanism, which "would shift a series of responsibilities and competencies to national authorities that are currently difficult to ascertain in the Member States" (as stated in the report submitted to Parliament in implementation of Law No. 234 of 2012).

The identification of the Garante as the supervisory authority for the AI Act would indeed allow for a timely adjustment to the obligations therein, reducing burdens, as it could draw on the experience already gained regarding that crucial aspect of AI represented by automated decision-making. Data Protection Authorities (and the Italian Garante, of course, no less) already possess the necessary competence and, together, independence to ensure a fully coherent implementation of the AI Act and a forward-looking application of its provisions.

The Garante – like all other Data Protection Authorities of the Member States – could indeed ensure both of these objectives, in a perspective also of reducing administrative burdens (by unifying the obligations provided by the two regulations into a single Authority) and of overall consistency in the application of European legislation in this area. The Italian Garante, in particular, has dealt with the use of AI in various fields: with respect to facial recognition for police purposes (Sari and Sari Real Time systems: see, respectively, provisions of February 26, 2020, No. 54, web doc No. 9309458 and March 25, 2021, No. 127, web doc No. 9575877), in the fiscal area, in the context of combating tax evasion (see in this regard, the opinion of December 22, 2021, No. 453, on the draft implementing decree of Article 1, paragraph 683, of Law December 27, 2019, No. 160, web doc No. 9738520, and, lastly, the opinion of January 11, 2024, No. 3 on a draft legislative decree regarding the assessment procedure, adopted in the exercise of the legislative delegation provided for by Article 17 of Law August 11, 2023, No. 111, web doc No. 9978230); in the health sector, in relation to so-called proactive medicine (opinion December 16, 2021, No. 431, web doc No. 9738538), to the reform of the Electronic Health Record and the establishment of the Health Data Ecosystem (Eds), in which a space for the application of AI has been envisioned (provisions of August 22, 2022, Nos. 294, web doc No. 9802729 and 295, web doc No. 9802752) and, lastly, with the Decalogue for the realization of national health services through Artificial Intelligence systems (October 10, 2023, web doc No. 9938038). Particularly significant, also for the wide echo it received (even outside national borders), is the control activity carried out against certain operators of the so-called gig economy (provisions of June 10, 2021, No. 234, web doc No. 9675440 – fully confirmed by the Court of Cassation, Section I civil, September 22, 2023, No. 27189 –, and of July 22, 2021, No. 285, web doc No. 9685994). Vademecums have been dedicated to the topic of deepfakes (web doc No. 9512226) and digital assistants (web doc No. 9696995). Among the ongoing activities, a particular mention can be made of the proceedings against OpenAI (in relation to chatGPT) and the exploratory investigation regarding web scraping.

In the supranational framework, the Authority also participates in the work of the G7 DPA Roundtable, which during the year of the Italian G7 Presidency will focus on the profiles of generative AI; within the circle of the Global Privacy Assembly (GPA), the Garante has actively operated in the GPA Working Group on Ethics and Data Protection in AI (AIWG), contributing to the preparation of the Technical Report dedicated to Risk Management in the context of AI (see Risks for Rights and Freedoms of Individuals Posed by Artificial Intelligence Systems - Proposal for a General Risk Management Framework, AIWG Action Point No. 6, at <https://globalprivacyassembly.org>) and, in 2023, promoting the “Resolution on Artificial Intelligence and Employment” and the “Resolution on Generative Artificial Intelligence Systems”; it follows the work of the OECD and, since 2022, has participated, through its own representative and cooperating with the Ministry of Foreign Affairs, in the work of the Committee on Artificial Intelligence for drafting the Council of Europe’s Framework Convention on Artificial Intelligence, whose work is in the concluding phase.

Moreover, since 2021, the Garante (first among European Authorities, followed by the French one in 2023) has established a specific organizational unit dedicated to artificial intelligence, which relates to some working groups on standardization established at CEN/CENELEC JTC 21 (particularly dedicated to the profiles of identifying and managing risks associated with AI as well as the issue of so-called data quality) and has signed a three-year framework agreement in 2022 with the National Interuniversity Consortium for Informatics, particularly with the national Labs dedicated to "AI".

In conclusion, I can only suggest to the Commission – as I did two years ago during the hearing on the AI Act – a reflection on this aspect, with the awareness of how the synergy between the two disciplines – and, therefore, their application by a single Authority – is crucial for the effectiveness of the rights and guarantees that they establish, with significant foresight.